TOPIC 4 · ECONOMIC POLICIES AND MANAGEMENT

ABC News
Friday 30 October 2026

Chalmers rules out new fuel discount, promises budget savings

After inflation jumped to 4.3%, the Treasurer said the budget cannot afford another fuel excise cut and flagged savings in December's mid-year update, putting fiscal policy alongside the RBA's fight against inflation.

WHAT HAPPENED

- Jim Chalmers said a new **fuel excise discount** is unlikely because 'the budget can't afford to do that forever'. Fuel rose **9.4%** in September and almost **24%** over the year.
- He said the budget is **not the primary driver** of inflation, pointing to the Middle East war and the private investment surge, but accepted responsibility for fiscal settings.
- Savings will be found in **MYEFO** (mid-December); the PM ruled out cuts to hospitals and schools, and broad cost-of-living relief.
- The Coalition wants a discount funded by spending cuts; independent MP Dai Le urged the government to reconsider.

Fuel excise: a per-litre tax on fuel. **MYEFO:** the Mid-Year Economic and Fiscal Outlook, updating the budget. **Fiscal stance:** whether the budget adds to (expansionary) or subtracts from (contractionary) demand.

KEY NUMBERS

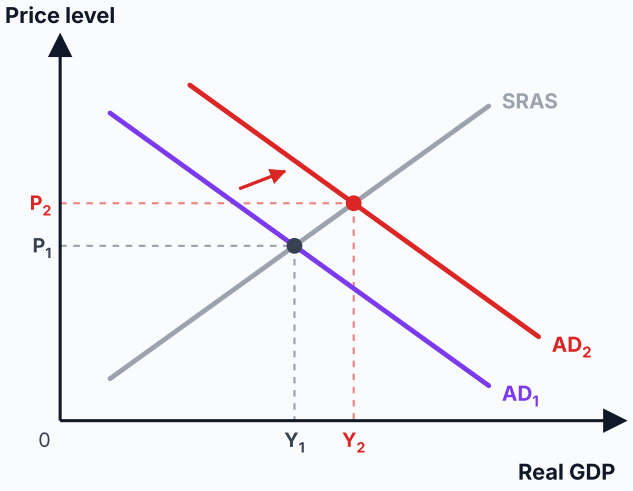
~24%
annual rise in fuel prices

4.3%
annual CPI inflation, Sept

Dec
MYEFO due with savings

4.85%
expected cash rate after Tuesday

DIAGRAM — Why a fuel discount can work against the RBA



Conceptual diagram, not to scale

An excise cut lowers the pump price, so **measured CPI falls briefly**. But it also leaves households with more to spend elsewhere, shifting **AD_1 to AD_2**.

That pushes the price level up (P_1 to P_2) across the rest of the economy, so the RBA may need **higher rates** to offset it. Fiscal and monetary policy would be pulling in **opposite directions**.

Exam angle: a **contractionary fiscal stance** supports monetary policy and can reduce how far rates must rise. This is the policy mix argument.

FLOW CHART — Why the Treasurer is wary

Fuel excise cut → Pump prices fall; CPI dips → Households spend the savings elsewhere → **AD rises: RBA may lift rates further**

SYLLABUS LINK

Topic 4 – fiscal policy: stance, budget outcomes and MYEFO; interaction of fiscal and monetary policy; political constraints on policy.

TRY THIS

Explain how a fuel excise cut could reduce measured inflation in the short term but work against the RBA over time. **(4 marks)**

Assess whether a contractionary fiscal stance would support monetary policy in the current economic conditions. **(6 marks)**

Sources: ABC News: abc.net.au/news/2026-10-28/chalmers-downplays-further-fuel-discounts-amid-high-inflation/107319372 · ABC Politics blog, 29 Oct: abc.net.au/news/2026-10-29/federal-politics-live-blog-oct-29/107320104